

known as undiversifiable risk because all assets are affected by it. *Unsystematic risk*, on the other hand, is the risk specific to each individual investment, such as market sector, management, product expansion, geographic exposure, and so on. It is also known as *firm-specific risk* and can be neutralized with a smartly constructed portfolio.

Unsystematic risk can be mitigated by constructing a portfolio of assets that neutralizes different firm-specific risks that could impact a portfolio. Ideally, the portfolio is crafted so that when one investment is negatively hurt by a specific event, another asset potentially could benefit by that very same event. For example, if a carbon tax is put on industry in the United States, then companies that are purely involved in oil and coal procurement may be adversely hit, while solar companies may jump. This carbon tax is not a systematic risk if it doesn't affect the market as a whole. Instead, it is an unsystematic risk that influences specific companies within the markets. In this case, the stocks of the oil company and the solar company would be examples of assets that experience negative correlation of returns to this event.

What holds true for specific assets within the same asset class also holds true between the asset classes themselves. If unsystematic risk is fully neutralized by constructing a portfolio of assets and asset classes that have low to negative correlation of returns, then that portfolio will be exposed only to systematic risk. Modern portfolio theory takes it a step further by saying over the long term, investors are rewarded *only* for the systematic risk they take on and will be adversely